Company registration number 00290803 (England and Wales)

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2023

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

COMPANY INFORMATION

Directors	D MacAnthony	
	B F Fry	
	L Mitchell	(Appointed 22 August 2022)
	E A Elsom	(Appointed 22 August 2023)
	D A Gore	(Appointed 22 August 2023)
	I R Crawford	(Appointed 22 January 2024)
Company number	00290803	
Registered office	London Road Peterborough PE2 8AL	
Auditor	Price Bailey LLP 36 Tyndall Court Commerce Road Lynchwood Peterborough PE2 6LR	
Business address	London Road Peterborough PE2 8AL	
Bankers	Barclays Bank Plc 1 Church Street Peterborough Cambridgeshire PE1 1QP	
Solicitors	Pinder Reaux & Associates 61a East Street Barking Essex IG11 8EJ Bates Wells 10 Queen Street Place London EC4R 1BE	

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

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PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2023

The directors present the strategic report for the year ended 30 June 2023.

Summary of the business

The Directors report a loss before tax for the year of £3,532,195 (2022: profit before tax of £860,413).

Key Performance Indicators

The following key performance indicators are used by the company to measure and evaluate its performance:

	2023	2022
Turnover	£10,544,565	£18,077,374
(Loss)/profit before tax	(£3,532,195)	£860,413
Staff Costs	£7,746,140	£9,142,027
Average Attendance	9,030	9,564
League Position	6th EFL League One (Play-offs)	22nd Championship

The directors take a cautious view with respect to financial risk management with the company being well managed by its board who operate a strict and prudent fiscal policy in all aspects.

Budgets and projections indicate that revenue generated from footballing activities being season ticket sales, gate receipts, FL Club distributions, competition prize money and TV & broadcasting revenue are insufficient to cover expected costs.

The directors are continually mindful that financially the company is dependent and will continue to be dependent upon the support provided by its beneficial owner, Mr D MacAnthony.

Turnover is approximately 41.7% down on the previous year, cost of sales have decreased by approximately 3%, leading to a decrease in the gross profit by 53.3%.
Overall Staff Costs are down by approximately 15.3% with this being a targeted area for savings on an ongoing basis.

Principal risks and uncertainties

The nature of professional football presents many risks and uncertainties. The Board is aware of the risks that affect the company and they are regularly reviewed.

Liquidity risk is the main financial risk faced by the company and this is addressed by the careful management of its working capital requirements. Uncertainties connected with the various income streams are acknowledged and assessed and future funding requirements are continually reviewed by the board. The board are aware of the significant uncertainties that potentially impact the company, further information on these uncertainties can be found in the going concern section within note 1.2 to the financial statements.

Review of the business

The team adjusted to life back in League One with four out of five league wins and hopes were high for a quick return to the Championship. However, we were unable to maintain that run and four straight league defeats plus 2 in cup competitions dampened expectations. Consistency was difficult to find and with more disappointing results in December and over the Christmas period culminating in a 0-3 home defeat to Wycombe on New Year's Day, the club parted company with club legend Grant McCann and his assistant Cliff Byrne.

Review of the business (continued)

With the club in eighth position and five points off the playoffs, Darren Ferguson returned for his fourth spell agreeing to manage the team for the rest of the season. As Club Chairman and owner Darragh MacAnthony said 'When you look for a manager in January, it is a very difficult time, an impossible time to get someone in, so if you were to write down what you would want in a manager, someone who identifies with how you work as a football club, someone who has had multiple promotions on their CV, someone with a style of football that gets people off their seats, where would you find a manager like that?' It just so happens we have one that lives nearby and has agreed to come and help us until the end of the season.

Results improved and with 13 wins out of 19, what looked like an improbable play off place earlier in the season was sealed with a fantastic win on the last day of scheduled fixtures at Barnsley.

Buoyed by a full house at the Weston Homes Stadium, supporters were treated to a spectacular first leg play off semi-final display against Sheffield Wednesday resulting in a 4-0 win. We all know what happened in the now infamous second leg at Hillsborough, and the utter despair of being a few seconds away from Wembley, only for the Owls to score in the 90th minute to take the tie to extra time. Sadly, with the tie all square at 5-5, our dreams of Wembley and promotion back to the Championship were shattered in the penalty shootout.

The club continued to invest heavily in the Academy, and we completed our first full season as a Category 2 Academy. The U18's had a great season finishing 3rd in the league and winning two cups, the Professional Development League Cup, and the David Joyce County Cup. Benji Arthur received an England call up and featured in the England U18s International tournament in Lisbon. Expectations remain high for a number of players in the Academy programme, and during the season there were over 100 first team league appearances for academy graduates.

The Posh Women continue to thrive, and another successful season followed a move from the Idverde Training Ground to a new home, The Abbey Lawn, at Bourne Town FC which enabled them to attract many new supporters. A top four finish in the FA Women's National League Division One, reaching the third round of the Vitality Women's FA Cup and winning the Northants FA County Cup gave a record-breaking season on the pitch.

The club successfully applied for and received a 3-year license from the FA to set up a girls Emerging Talent Centre (ETC) in September 2022. With four age groups – U10s, U12s, U14s and U16s this provides the opportunity for young girls in the community to play football, receive high quality coaching and a pathway into the senior ladies' football teams.

It would be remiss not to mention the fantastic team behind the scenes. The success of all of Peterborough United's football teams would not be possible without their hard work, commitment, and dedication.

Finally, as always, we would like to thank our superb fans, sponsors, and partners for their continued support.

Going concern

At the balance sheet date the Company is in a net liability position. The Company's business activities combined with factors likely to impact future development, performance and position have been considered by the Board and continues to be reviewed in line with forecasts which extend beyond a year from the date of approval of this report.

The Board acknowledges their requirement to prepare the statutory financial statements on a going concern basis unless it is inappropriate to presume the company will continue to be in business. Details of the Board's assessment of going concern is set out in note 1.2 of the financial statements.

Closing Summary

Many faces, who had served us well and delivered promotion in the COVID 20-21 season, departed over the summer and we wish them all well with their new clubs. We returned for the new season, refreshed with the youngest team in the league, and the rebuild began. Some scintillating performances have been delivered and at the time of writing we are sitting 5th in the table and have the Bristol Street Motors Cup Final at Wembley to look forward to. Our first visit to the national stadium in ten years.

Closing Summary (continued)

Ephron Mason – Clark was sold to Coventry City in the January transfer window, and loaned back to the Club for the rest of the season as we focus on the final dozen games of the season and a push for promotion.

Off the pitch the club has reached an agreement with OKR Financial Ltd, to repay the debt and Darragh MacAnthony has become majority shareholder of the football club again. A fantastic 23-24 so far.

On behalf of the board

D A Gore
Director

28 March 2024

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2023

The directors present their annual report and financial statements for the year ended 30 June 2023.

Principal activities
The principal activity of the club continued to be that of a professional football club.

Results and dividends
The results for the year are set out on page 9.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

D MacAnthony	
B F Fry	
Dr J D Neale	(Resigned 27 November 2023)
R S Thompson	(Resigned 27 November 2023)
L Mitchell	(Appointed 22 August 2022)
E A Elsom	(Appointed 22 August 2023)
D A Gore	(Appointed 22 August 2023)
I R Crawford	(Appointed 22 January 2024)

Future developments
Since the year end the club has been concentrating on consolidating its position following relegation from the Championship and is now focusing on a successful 2023-24 Sky Bet League One campaign.

Auditor
The auditor, Price Bailey LLP, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Statement of directors' responsibilities
The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure to auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor are unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

Medium-sized companies exemption

This report has been prepared in accordance with the provisions applicable to companies entitled to the medium-sized companies exemption.

On behalf of the board

D A Gore
Director

28 March 2024

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

Opinion

We have audited the financial statements of Peterborough United Football Club Limited (the 'company') for the year ended 30 June 2023 which comprise the statement of comprehensive income, the balance sheet, the statement of changes in equity, the statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2023 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

We draw attention to Note 1.2 in the financial statements, which indicates that company incurred a net loss of £3.5m during the year ended 30 June 2023 and, as of that date, the company's current liabilities exceeded its current assets by £12.5m. As stated in Note 1.2, these events or conditions, along with other matters as set forth in Note 1.2, indicate that a material uncertainty exists that may cast a significant doubt on the company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

We have considered the nature of the sector, control environment and financial performance based on our accumulated knowledge of the Club.

We have made enquiries with those charged with governance and management, including obtaining and reviewing supporting documentation relating to:

- Identifying, evaluating and complying with laws and regulations and if they were aware of any instances of non-compliance;
- Detecting and responding to the risks of fraud and whether they aware of any actual or suspected fraud;
- The internal controls established to mitigate risks of fraud or non-compliance with laws and regulations.

As a result of the above we consider key risks being inappropriate journal entries, management override and revenue recognition. We have also considered provisions of other laws and regulations that do not have a direct effect on the financial statements but could affect the the Club's ability to operate or avoid a material penalty. These include health and safety regulations, alcohol licensing and EFL and FA rules.

Our procedures to respond to risks identified included the following:

- analytical procedures are performed as well as substantive testing to identify any potential misstatement due to fraud and the audit procedures would also involve being aware of any items from discussions with staff and management;
- performing detailed transactional testing in relation to the recognition of revenue and the completeness of funding;
- reviewing board meeting minutes;
- enquiring of management in relation to actual and potential claims for litigation;
- in addressing the risk of fraud through management override of controls we have tested the appropriateness of journal entries and other adjustments and we assessed whether judgements made in accounting estimates are indicative of management bias.

Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements or non-compliance with regulation. This risk increases the more that compliance with a law or regulation is removed from the events and transactions reflected in the financial statements, as we will be less likely to become aware of instances of non-compliance. The risk is also greater regarding irregularities occurring due to fraud rather than error, as fraud involves intentional concealment, forgery, collusion, omission or misrepresentation.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report
This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Kerry Hilliard ACA FCCA CTA (Senior Statutory Auditor)
For and on behalf of Price Bailey LLP

28 March 2024

Chartered Accountants
Statutory Auditor

36 Tyndall Court
Commerce Road
Lynchwood
Peterborough
PE2 6LR

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2023

	Notes	2023 £	2022 £
Turnover	**3**	10,544,565	18,077,374
Cost of sales		(4,050,468)	(4,176,773)
Gross profit		6,494,097	13,900,601
Administrative expenses		(12,176,728)	(14,233,632)
Other operating income		224,432	171,095
Profit on the disposal of player registrations	**4**	3,241,462	1,393,988
Operating (loss)/profit	**5**	(2,216,737)	1,232,052
Interest receivable and similar income	**9**	12	-
Interest payable and similar expenses	**10**	(874,421)	(371,639)
Amounts written off investments	**11**	(441,049)	-
(Loss)/profit before taxation		(3,532,195)	860,413
Taxation	**12**	-	72,523
(Loss)/profit for the financial year	**24**	(3,532,195)	932,936

The profit and loss account has been prepared on the basis that all operations are continuing operations.

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

BALANCE SHEET

AS AT 30 JUNE 2023

	Notes	2023		2022	
		£	£	£	£
Fixed assets					
Intangible assets	**13**		2,210,570		3,564,173
Tangible assets	**14**		2,850,846		3,101,645
			5,061,416		6,665,818
Current assets					
Stocks	**15**	89,344		95,806	
Debtors falling due after more than one year	**16**	-		309,375	
Debtors falling due within one year	**16**	3,916,604		2,822,796	
Cash at bank and in hand		171,549		2,926,142	
		4,177,497		6,154,119	
Creditors: amounts falling due within one year	**17**	(16,635,816)		(19,492,917)	
Net current liabilities			(12,458,319)		(13,338,798)
Total assets less current liabilities			(7,396,903)		(6,672,980)
Creditors: amounts falling due after more than one year	**18**		(8,506,342)		(5,698,070)
Net liabilities			(15,903,245)		(12,371,050)
Capital and reserves					
Called up share capital	**23**		3,284,580		3,284,580
Profit and loss reserves	**24**		(19,187,825)		(15,655,630)
Total equity			(15,903,245)		(12,371,050)

These financial statements have been prepared in accordance with the provisions relating to medium-sized companies.

The financial statements were approved by the board of directors and authorised for issue on 28 March 2024 and are signed on its behalf by:

D A Gore
Director

Company registration number 00290803 (England and Wales)

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2023

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2021	3,284,580	(16,588,566)	(13,303,986)
Year ended 30 June 2022:			
Profit and total comprehensive income	-	932,936	932,936
Balance at 30 June 2022	3,284,580	(15,655,630)	(12,371,050)
Year ended 30 June 2023:			
Loss and total comprehensive income	-	(3,532,195)	(3,532,195)
Balance at 30 June 2023	3,284,580	(19,187,825)	(15,903,245)

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2023

	Notes	2023		2022	
		£	£	£	£
Cash flows from operating activities					
Cash (absorbed by)/generated from operations	31		(3,591,290)		2,514,182
Interest paid			(874,421)		(371,639)
Income taxes refunded			-		140,947
Net cash (outflow)/inflow from operating activities			(4,465,711)		2,283,490
Investing activities					
Purchase of intangible assets		(1,725,000)		(1,708,334)	
Proceeds from disposal of intangibles		2,819,666		1,030,500	
Purchase of tangible fixed assets		(617,189)		(1,977,988)	
Proceeds from disposal of tangible fixed assets		15,598		34,208	
Repayment of loans		-		(5,000)	
Interest received		12		-	
Net cash generated from/(used in) investing activities			493,087		(2,626,614)
Financing activities					
Proceeds from borrowings		2,836,085		4,127,034	
Repayment of borrowings		(1,607,965)		(1,078,346)	
Proceeds from new bank loans		-		60,000	
Payment of finance leases obligations		(10,089)		(48,366)	
Net cash generated from financing activities			1,218,031		3,060,322
Net (decrease)/increase in cash and cash equivalents			(2,754,593)		2,717,198
Cash and cash equivalents at beginning of year			2,926,142		208,944
Cash and cash equivalents at end of year			171,549		2,926,142

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2023

1 Accounting policies

Company information

Peterborough United Football Club Limited is a private company limited by shares incorporated in England and Wales. The registered office is London Road, Peterborough, PE2 8AL.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

1 Accounting policies **(Continued)**

1.2 Going concern and post balance sheet events

The Board of Directors are required to prepare the statutory financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The company has net liabilities of £15.9m (2022: £12.4m) and made a loss after tax in the current year of £3.5m (2022: loss of £0.9m) and has net current liabilities of £12.5m (2022: £13.3m).

Day to day working capital requirements are met through existing cash and banking facilities, bank loans, investor financing and from the support of its beneficial owners by way of shareholder related loans.

To enable the Board to assess the adequacy of the financial facilities available to the company, they have used management information, including a recent review of forecasts which extend beyond one year from the date of approval of these financial statements.

The forecasts make key assumptions around season ticket sales and matchday income, football performance, overhead costs, future player sales, contingent receipts and transfer fees payable and the company's ability to secure future debt and/or equity finance. Any reliance placed on the forecasts by the Board is dependent upon the above factors. At the time of preparation, the Board recognises that current projections indicate that the company will require additional funding within the next 12 months to meet its operational cash flow requirements and to facilitate loan repayments and cash requirements for other financing commitments. The assumptions made by the Board when determining the expected funding requirement do not include any contingent income relating to potential sell-on fees for Ivan Toney.

The amount of additional funding required is uncertain and the Board acknowledges that the required amounts will depend upon significant uncertainties relating to:

-the assumptions relating to the timing and amounts expected to be received in respect of player sales;

-the ongoing support of the beneficial owner, Darragh MacAnthony.

On the basis of the above, the Board acknowledges the existence of material uncertainties which may cast significant doubt over the company's ability to continue as a going concern.

The Board have obtained a letter of support from the ultimate beneficial owner, Darragh MacAnthony, confirming the intention to support the company and to provide additional loan facilities as required to meet any shortfalls that may arise from variances to the forecast cash flows. In addition, further confirmations have been provided of the intention to support the company by not demanding repayment of loans owing to Darragh MacAnthony for the foreseeable future. The level and timing of the potential cash requirements have been considered by the Board, however, they acknowledge that the letter of support is not legally binding and there is no contractual certainty that the shareholder will make available such funding, nor require repayment of the existing loans. If the support of the shareholder was required and not forthcoming, the company may not be able to raise additional funding to provide sufficient cash to enable it to meet its liabilities as they fall due. This creates a material uncertainty which may cast significant doubt over the company's ability to continue as a going concern.

Nevertheless, on the basis of the information available to the Board at the current time, the Board believe that there is a reasonable expectation that the company will have adequate resources to continue in operational existence for the foreseeable future. Accordingly, they continue to adopt the going concern basis of preparation in these financial statements.

1.3 Turnover

Turnover represents amounts receivable for net gate and ticket receipts, box subscriptions, television and sponsorship revenue, FA and prize money, contingent transfer fees, player loan fees, rental income and other commercial activities net of VAT. Turnover is the total amount excluding value added tax, receivable by the company in the ordinary course of business. Net gate and ticket receipts are recognised when the match is played; television and sponsorship revenue are recognised over the contract or sponsorship period; rental income is recognised over the rental period and all other income is recognised as it becomes receivable in line with the service provided.

1 Accounting policies **(Continued)**

1.4 Intangible fixed assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the entity.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Playing staff	amortised over the length of the related player contract

Transfer fees are recognised in the accounting period in which the transfer is registered with the relevant football governing body except where the contract is not conditional upon registration in which case the transfer is recognised when the contract becomes unconditional (usually when payment is made or received). Payments or receipts which are contingent on the performance of team or player are not recognised until the events crystallising such payments or receipts have taken place. Contingent payments or receipts are included within cost of sales and turnover respectively. Transfer fees payable excluding contingent amounts are capitalised and shown as intangible fixed assets. This amount is then amortised over the length of the related player contract. Transfer fees receivable excluding contingent amounts are treated as a sale of the relevant intangible fixed asset.

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Leasehold improvements	10% per annum of cost
Plant and machinery	25% per annum reducing balance
Fixtures, fittings & equipment	25% per annum reducing balance
Motor vehicles	25% per annum reducing balance

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Impairment of fixed assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any).

1.7 Stocks

Stock is valued at the lower of cost and realisable value after making any adjustments necessary for obsolete or slow moving stock.

1 Accounting policies **(Continued)**

1.8 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

1 Accounting policies **(Continued)**

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value though profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the company's contractual obligations expire or are discharged or cancelled.

1.9 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

Changes in the fair value of derivatives that are designated and qualify as fair value hedges are recognised in profit or loss immediately, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk.

1.10 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

1 Accounting policies **(Continued)**

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.11 Employee benefits

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.12 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.13 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

Rental income from operating leases is recognised on a straight line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight line basis over the lease term.

1.14 Government grants

Grants are accounted for under the accruals model as permitted by FRS 102. Grants relating to expenditure on tangible fixed assets are credited to the profit and loss account at the same rate as the depreciation on the assets to which the grant relates. The deferred element of the grants is included in creditors as deferred income.

Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable.

1 Accounting policies **(Continued)**

1.15 Signing on fees

Contractual amounts of fees payable to players are recognised as prepayments and spread evenly over the contract period. The net balance of signing on fees relating to players sold is included within the calculation of profit or loss on disposal of players' contracts.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Depreciation and amortisation

Depreciation and amortisation are recognised to write off the cost of intangible and tangible fixed assets less their residual values over their useful lives at the rates detailed in Notes 1.4 and 1.5. The provisions for amortisation and depreciation at the reporting end date are £2,466,097 and £1,674,324 respectively. Further details of the amounts provided at the beginning and end of the period, together with the charge for the year are shown in Notes 13 and 14 respectively.

Contingent Appearance Fees

The company has, under transfer agreements, a liability to pay additional sums dependent on players' attainment and any subsequent transfer value. At the year end such fees were estimated at £590,000 (2022: £913,125) which are not considered probable based on managements best estimates. As such no provision has been made in these financial statements.

3 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2023	2022
	£	£
Turnover analysed by class of business		
Retail income	716,984	681,849
Football and commercial income	9,827,581	17,395,525
	10,544,565	18,077,374

	2023	2022
	£	£
Other revenue		
Interest income	12	-
Grants received	171,286	102,343

3 Turnover and other revenue **(Continued)**

The total turnover of the company for the period has been derived from its principal activity wholly undertaken in the United Kingdom.

4 Exceptional item

	2023	2022
	£	£
Profit on the disposal of player registrations	3,241,462	1,393,988

5 Operating (loss)/profit

Operating (loss)/profit for the year is stated after charging/(crediting):	2023 £	2022 £
Government grants	(171,286)	(102,343)
Depreciation of owned tangible fixed assets	405,942	296,552
Depreciation of tangible fixed assets held under finance leases	26,403	52,421
(Profit)/loss on disposal of tangible fixed assets	(16,169)	20,793
Amortisation of intangible assets	1,372,523	1,423,223
Operating lease charges	187,911	131,918

6 Auditor's remuneration

Fees payable to the company's auditor and associates:	2023 £	2022 £
For audit services		
Audit of the financial statements of the company	21,000	15,000
For other services		
All other non-audit services	16,249	13,882

7 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2023 Number	2022 Number
Playing staff	121	104
Matchday staff	86	88
Management and office	32	30
	239	222

7 Employees (Continued)

Their aggregate remuneration comprised:

	2023	2022
	£	£
Wages and salaries	6,872,722	8,088,010
Social security costs	741,033	933,769
Pension costs	132,385	120,248
	7,746,140	9,142,027

8 Directors' remuneration

	2023	2022
	£	£
Remuneration for qualifying services	264,621	301,198
Company pension contributions to defined contribution schemes	3,109	2,055
	267,730	303,253

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 1 (2022 - 1).

Remuneration disclosed above include the following amounts paid to the highest paid director:

Remuneration for qualifying services	221,072	252,253

9 Interest receivable and similar income

	2023	2022
	£	£
Interest income		
Interest on bank deposits	12	-

	2023	2022
Investment income includes the following:	£	£
Interest on financial assets not measured at fair value through profit or loss	12	-

10 Interest payable and similar expenses

	2023	2022
	£	£
Interest on financial liabilities measured at amortised cost:		
Other interest on financial liabilities	863,876	355,181
Other finance costs:		
Interest on finance leases and hire purchase contracts	9,238	16,052
Other interest	1,307	406
	874,421	371,639

11 Amounts written off investments

	2023	2022
	£	£
Amounts written off current loans	(441,049)	-

12 Taxation

	2023	2022
	£	£
Current tax		
Adjustments in respect of prior periods	-	(72,523)

	2023	2022
	£	£
(Loss)/profit before taxation	(3,532,195)	860,413
Expected tax (credit)/charge based on the standard rate of corporation tax in the UK of 19.00% (2022: 19.00%)	(671,117)	163,478
Tax effect of expenses that are not deductible in determining taxable profit	94,896	1,006
Tax effect of utilisation of tax losses not previously recognised	(9,014)	(164,484)
Unutilised tax losses carried forward	585,235	-
Research and development tax credit	-	(72,523)
Taxation charge/(credit) for the year	-	(72,523)

The company has estimated losses of £18,841,543 (2022: £15,625,891) available for carry forward against future trading profits.

13 Intangible fixed assets

	Playing staff
	£
Cost	
At 1 July 2022	5,970,000
Additions	775,000
Disposals	(2,068,333)
At 30 June 2023	4,676,667
Amortisation and impairment	
At 1 July 2022	2,405,827
Amortisation charged for the year	1,372,523
Disposals	(1,312,253)
At 30 June 2023	2,466,097
Carrying amount	
At 30 June 2023	2,210,570
At 30 June 2022	3,564,173

14 Tangible fixed assets

	Leasehold improvements	Plant and machinery	Fixtures, fittings & equipment	Motor vehicles	Total
	£	£	£	£	£
Cost					
At 1 July 2022	3,418,625	548,953	114,424	312,699	4,394,701
Additions	184,509	78,668	-	110,665	373,842
Disposals	(16,598)	-	-	(226,775)	(243,373)
At 30 June 2023	3,586,536	627,621	114,424	196,589	4,525,170
Depreciation and impairment					
At 1 July 2022	833,103	308,928	99,283	51,742	1,293,056
Depreciation charged in the year	333,038	69,119	3,785	26,403	432,345
Eliminated in respect of disposals	(92)	-	-	(50,985)	(51,077)
At 30 June 2023	1,166,049	378,047	103,068	27,160	1,674,324
Carrying amount					
At 30 June 2023	2,420,487	249,574	11,356	169,429	2,850,846
At 30 June 2022	2,585,522	240,025	15,141	260,957	3,101,645

14 Tangible fixed assets **(Continued)**

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases or hire purchase contracts.

	2023	2022
	£	£
Motor vehicles	169,429	260,957

15 Stocks

	2023	2022
	£	£
Finished goods and goods for resale	89,344	95,806

16 Debtors

Amounts falling due within one year:	2023 £	2022 £
Trade debtors	3,075,194	1,389,565
Other debtors	113,648	516,637
Prepayments and accrued income	727,762	916,594
	3,916,604	2,822,796

Amounts falling due after more than one year:	2023 £	2022 £
Trade debtors	-	309,375
Total debtors	3,916,604	3,132,171

17 Creditors: amounts falling due within one year

		2023	2022
		£	£
Bank loans and overdrafts	19	240,000	360,000
Obligations under finance leases	20	20,710	31,704
Other borrowings	19	11,279,518	13,600,222
Payments received on account		1,673,886	1,671,943
Trade creditors		1,558,140	2,352,066
Other taxation and social security		805,870	717,613
Government grants	21	147,036	138,035
Other creditors		185,946	309,513
Accruals and deferred income		524,710	311,821
		16,635,816	19,492,917

Net obligations under finance lease and hire purchase contracts amounting to £20,710 (2022: £31,704) are secured by fixed charges on the assets concerned.

Bank loans amounting to £240,000 (2022: £360,000) are guaranteed under the Recovery Loan Scheme Guarantee.

Other borrowings at 30 June 2023 includes loan balances of £300,000 (2022: £2,782,390) which are secured by fixed and floating charges on the company's assets. Further details are provided in Notes 26 and 27.

18 Creditors: amounts falling due after more than one year

		2023	2022
		£	£
Bank loans and overdrafts	19	120,000	-
Obligations under finance leases	20	139,651	230,948
Other borrowings	19	6,310,024	2,761,200
Trade creditors		815,000	1,366,666
Government grants	21	918,434	983,720
Other creditors		203,233	355,536
		8,506,342	5,698,070

Net obligations under finance lease and hire purchase contracts amounting to £139,651 (2022: £230,948) are secured by fixed charges on the assets concerned.

Bank loans amounting to £120,000 (2022: £Nil) are guaranteed under the Recovery Loan Scheme Guarantee.

Other borrowings at 30 June 2023 includes loan balances of £5,310,024 (2022: £Nil) which are secured by fixed and floating charges on the company's assets. Further details are provided in Notes 26 and 27.

19 Loans and overdrafts

	2023	2022
	£	£
Bank loans	360,000	360,000
Loans from related parties	12,860,603	13,139,422
Other loans	4,728,939	3,222,000
	17,949,542	16,721,422
Payable within one year	11,519,518	13,960,222
Payable after one year	6,430,024	2,761,200

The company has a bank loan of £360,000 (2022: £300,000) due by 31 August 2024 with an annualised effective interest rate of 10.13%.

Included within other loans is £2,500,000 (2022: £2,500,000) of additional funds raised from the issue of bonds to the public in June 2022 to support capital expenditure. The bonds are unsecured and have a fixed term of 5 years, with interest paid annually from 30 September 2022 at 9%.

All outstanding bonds become immediately repayable, at the bondholders option, if any of the terms or conditions within the bond are not complied with.

Also included within other loans is £1,950,050 (2022: £Nil) to support working capital. These loans are secured with fixed and floating charges over the property and assets of the company. Interest is charged on these loans ranging from 12% to 16% per annum.

The company also has a loan of £217,689 (2022: £600,000) to support working capital. The loan is unsecured and interest is charged at 12.5%. The loan was repaid on 2 August 2023.

Details of loans from related parties is disclosed in Notes 26 and 27.

20 Finance lease obligations

Future minimum lease payments due under finance leases:	2023 £	2022 £
Within one year	20,710	31,704
In two to five years	139,651	230,948
	160,361	262,652

Finance lease payments represent rentals payable by the company for certain items of plant and machinery. Leases include purchase options at the end of the lease period, and no restrictions are placed on the use of the assets. The average lease term is 4 years. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

The net obligations under finance leases are secured by fixed charges on the assets concerned.

21 Government grants

	2023	2022
	£	£
Arising from government grants	1,065,470	1,121,755
Deferred income is included in the financial statements as follows:		
Current liabilities	147,036	138,035
Non-current liabilities	918,434	983,720
	1,065,470	1,121,755

The Club was awarded a government grant in 2021 for £1,470,000 which was fully utilised by 2022. The purpose of the grant was to enhance grassroots football and football training facilities within the Cambridgeshire region, but with a particular focus on Peterborough and the surrounding areas. The Club also received £90,000 (2022: £Nil) in the year from the EFL's Stadia and Facility Improvement Fund to cover costs incurred in the stadium. The grants, recognised as deferred income, are being amortised over the useful life of the expenditure incurred.

During the year the Club received the Coronavirus Job Retention Scheme grant totalling £Nil (2022: £3,517). The Club also received grant income totalling £Nil (2022: £6,363) from the government's Kick Start Scheme and £25,000 (2022: £Nil) from the FA to help develop the Emerging Talent Centre for the Women's game. This was included in 'other operating income' when it became receivable.

22 Retirement benefit schemes

	2023	2022
Defined contribution schemes	£	£
Charge to profit or loss in respect of defined contribution schemes	132,385	120,248

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

23 Share capital

	2023	2022
	£	£
Ordinary share capital		
Issued and fully paid		
1,642,290 ordinary shares of £2 each	3,284,580	3,284,580

24 Profit and loss reserves

	2023	2022
	£	£
At the beginning of the year	(15,655,630)	(16,588,566)
(Loss)/profit for the year	(3,532,195)	932,936
At the end of the year	(19,187,825)	(15,655,630)

25 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2023	2022
	£	£
Within one year	95,439	148,532
Between two and five years	95,348	78,432
In over five years	84,500	90,500
	275,287	317,464

26 Financial commitments, guarantees and contingent liabilities

Loans from related parties

In November 2023, a settlement was reached between the company and Old Kent Road Financial Ltd ('the lender') in respect of outstanding liabilities relating to a secured term loan agreement. This debenture is registered at Companies House and provides security by way of a charge on the company's assets and the right to appoint an administrator in the event of default.

Included in 'loans from related parties' per Note 19 is an amount owing to the lender of £5,610,024. Following a Deed of Variation signed in November 2023, a settlement was reached for the company to pay an amount of £5,864,490 to clear this loan over the next 4 years. In the event of default, the company would have a potential liability of £7,377,305. This amount has not been recognised in the accounts as the Board are under the view that default will not arise.

Also included in 'loans from related parties' per Note 19 is an amount owing to Kelgary Sports & Entertainment Ltd. Following the year end, it was agreed that Kelgary Sports & Entertainment Ltd would waive its entitlement to repayment of the loan. This on the basis that DMA Holdings SA makes payments due to Old Kent Road Financial Ltd as set out in the agreement dated November 2023. DMA Holdings SA has provided security for all amounts owed to Old Kent Road Financial Ltd.

Other

The company has financial commitments under contract for hardware support and maintenance of pitches at the main ground and academy. The financial commitment amounts to £62,028 as at 30 June 2023.

The company may receive, under transfer agreements, further amounts for players already sold dependent on whether these players are sold on again for a profit. No reliable estimate can be made of the likelihood of these players being transferred or their potential transfer values.

The company has, under transfer agreements, a liability to pay additional sums dependent on players' attainment and any subsequent transfer value. At the year end such fees were estimated at £590,000 (2022: £913,125) to be payable by the company.

No provision has been made in these accounts for such liabilities as management do not consider the above estimate to be reliable as player attainments may not be achieved and therefore the payment may never crystallise.

The company is also awaiting the outcome of the Sheldon review in to a number of historic cases. The Directors believe that the Club may have a maximum liability in of £50,000 in respect of this review. No provision has been made in these financial statements.

27 Related party transactions

Transactions with related parties

During the year the company entered into the following transactions with related parties:

	Sales		Purchases	
	2023	2022	2023	2022
	£	£	£	£
Entities with control, joint control or significant influence over the company	1,750	-	704,021	613,752
Key management personnel	-	700	225,000	507,175
Other related parties	38,695	34,968	18,001	16,077

The following amounts were outstanding at the reporting end date:

Amounts due to related parties	2023	2022
	£	£
Entities with control, joint control or significant influence over the company	12,860,602	13,177,422
Other related parties	400	-

The following amounts were outstanding at the reporting end date:

Amounts due from related parties	2023	2022
	£	£
Entities with control, joint control or significant influence over the company	24,006	438,756
Key management personnel	49,464	-
Other related parties	4,083	507

The following amounts were recognised as an expense in the period in respect of bad and doubtful debts due from related parties:

	2023	2022
	£	£
Entities with control, joint control or significant influence over the company	441,049	-

27 Related party transactions **(Continued)**

At 30 June 2023, interest-free loans totalling £6,600,579 (2022: £6,640,579) were outstanding to entities with joint control over the company. See Note 26 for further details on the loan from Kelgary Sports & Entertainment Ltd.

Further loans totalling £650,000 (2022: £Nil) were outstanding to entities with significant influence over the company. These loans are secured with fixed and floating charges over the property and assets of the company. Interest has been charged at 12% on these loans.

At 30 June 2023, liabilities totalling £5,610,024 (2022: £6,498,843) were outstanding to an entity with significant influence over the company. Interest has been charged on the loan at 18% with no further interest being charged since 31 December 2022. Since the year-end an agreement has been reached to settle the loan with an agreed loan balance of £5,864,490. This amount is repayable over 4 years. This loan is secured with fixed and floating charges over the property and assets of the company. See Note 26 for further details.

No interest is charged on the remaining liabilities.

The bank facility has been personally guaranteed by two directors to a maximum of £750,000.

28 Capital commitments

Amounts contracted for but not provided in the financial statements:

	2023	2022
	£	£
Acquisition of tangible fixed assets	107,107	-

29 Directors' transactions

Advances or credits have been granted by the company to its directors as follows:

Description	% Rate	Opening balance	Closing balance
		£	£
Loan	-	5,000	5,000
		5,000	5,000

30 Ultimate controlling party

At the balance sheet date there is no ultimate controlling party. The company is jointly controlled by DMA Holdings S.A. and Kelgary Sports & Entertainment Ltd by virtue of their majority shareholding.

31 Cash generated from operations

	2023	2022
	£	£
(Loss)/profit for the year after tax	(3,532,195)	932,936
Adjustments for:		
Taxation charged/(credited)	-	(72,523)
Finance costs	874,421	371,639
Investment income	(12)	-
(Gain)/loss on disposal of tangible fixed assets	(16,169)	20,793
Gain on disposal of intangible assets	(3,241,462)	(1,393,988)
Amortisation and impairment of intangible assets	1,372,523	1,423,222
Depreciation and impairment of tangible fixed assets	432,344	348,973
Amounts written off investments	441,049	-
Movements in working capital:		
Decrease in stocks	6,462	90,813
(Increase)/decrease in debtors	(47,606)	1,555,447
Increase/(decrease) in creditors	119,355	(763,130)
Cash (absorbed by)/generated from operations	(3,591,290)	2,514,182

32 Analysis of changes in net debt

	1 July 2022	Cash flows	Acquisitions and disposals	New finance leases	30 June 2023
	£	£	£	£	£
Cash at bank and in hand	2,926,142	(2,754,593)	-	-	171,549
Borrowings excluding overdrafts	(16,721,422)	(1,228,120)	-	-	(17,949,542)
Obligations under finance leases	(262,652)	10,089	192,867	(100,665)	(160,361)
	(14,057,932)	(3,972,624)	192,867	(100,665)	(17,938,354)

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.